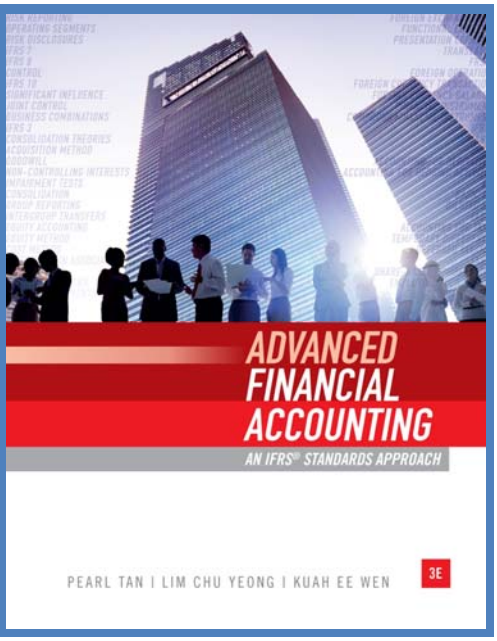
Chapter 5
Group Reporting IV: Consolidation under IFRS 10



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Learning Objectives

1. Understand the principles underlying the elimination of intragroup balances and transactions in consolidation;
2. Understand the rationale for consolidation adjustments to opening retained earnings;
3. Appreciate the significance of upstream versus downstream sales and the consequential impact on non-controlling interests;
4. Pass the appropriate consolidation adjustments with respect to unrealized profit or loss arising from intercompany transfers of inventory and fixed assets; and
5. Understand and know how to analytically determine consolidated retained earnings.

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Content

1. Elimination of Intragroup Transactions and Balances
2. Elimination of Realized Intragroup Transactions
3. Elimination of Intragroup Balances
4. Adjustment of Unrealized Profit or Loss Arising from Intercompany Transfers
5. Impact on Non-controlling Interests Arising from Adjustments of Unrealized Profit or Loss
6. Special Considerations for Intercompany Transfers of Fixed Assets
7. Special Accounting Considerations When Intragroup Transfers Are Made at a Loss
8. Consolidated Retained Earnings and their Components

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Elimination of Intragroup Transactions and Balances

- Operational and financial interdependencies within the group entities
  - Lead to intragroup transactions and balances
- Intragroup transactions include for example:
  - Buying or selling of inventory
  - Transferring of long lived assets
  - Rendering or procuring of services
  - Providing financing among the companies within the group

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Elimination of Intragroup Transactions and Balances

- Intragroup transactions give rise to intragroup balances
  - E.g. Loan receivable/payable to or from group companies, Dividend receivable, Accounts payable/receivable to or from group companies
- From an economic perspective, an entity is not able to transact with itself
  - Intragroup assets and liabilities, equity, income, expenses and cash flows relating to transactions between entities of the group are to be eliminated in full during consolidation
  - Elimination adjustments are made in relation to the **original entries passed in the legal entity's financial statements**

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Elimination of Intragroup Transactions and Balances

- Consolidation involves a three step process:
  - Preparing consolidation adjusting entries to arrive at consolidated totals that reflect the effects of transactions of the economic entity with external third parties
  - Preparing consolidation worksheets which combine the legal entities' financial statements and show adjustments of consolidation entries
  - Analysing final consolidated totals to independently substantiate the reported numbers

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Principles Governing Elimination

- Outstanding balances due to or from companies within a group are eliminated
- Transactions in the income statement between the group companies are eliminated
- Profit or loss resulting from intragroup transactions that are included in the asset are eliminated in full (both parent's & NCI's share)
- Tax effects on unrealized profit or loss included in the asset should be adjusted according to IAS 12 *Income Taxes*
- Associates ("significant influence") are not part of the group
  - Balances with associates are not eliminated
  - Unrealized profit or loss from transactions between an investor and its associates are eliminated to the extent of investor's interests

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Elimination of Realized Intragroup Transactions

- "Offsetting" effect on the group net profit from realized transactions
  - Profit recorded by the selling company offset the expense recorded by buying company
  - Elimination is still required to avoid overstatement of individual line items

Examples:

1. Transactions relating to interest:
   - Usually no time lag in the recognizing of interest by borrower and lender i.e. interest income exactly offsets the interest expense
   - Elimination entry:

Dr		Interest Income (lender)
	Cr	Interest Expense (borrower)

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Elimination of Realized Intragroup Transactions

- Exception: borrower capitalizes interest on borrowed money into the cost of construction of a long-lived asset

Dr		Interest Income
	Cr	Fixed assets in progress

2. Transactions relating to services provided
   - Provision and consumption of services are simultaneous
   - Elimination entry:

Dr		Service Income
	Cr	Service Expense

   - Exception: service receiver capitalizes service fee when the service provided creates or enhances an asset or extends its useful life

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Elimination of Realized Intragroup Transactions

3. Transfers of inventories that are resold to 3rd party in the same period
   - Profit recorded by selling company offset the higher cost of sale recorded by buying company
   - Consolidated financial statements should only show the sale to third parties and the original cost of purchasing the inventory from third parties
   - Elimination entry:

Dr		Sales
	Cr	Cost of Sales

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Adjustment to Opening Retained Earnings (RE)

- When a transaction is recognized by a legal entity in one period and by the economic entity in another period
  - Consolidation adjustments are passed through opening RE
  - Consolidated opening RE should be the same as the consolidated closing RE of the previous period
- Sum of the opening RE of the legal entities in the group will not be equal to the consolidated opening RE
  - Consolidated adjustments that have a "one sided effect" on RE (i.e. elimination adjustments on buyer and seller entries are not fully off-setting) must be re-enacted every year
- E.g. Unrealized profit from intragroup balances in the previous year are adjusted against opening RE in the subsequent year
  - Re-enactment continue for as long as the asset remains in the group

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Adjustment to Opening Retained Earnings (RE)

Example:

- Subsidiary Co. sells inventory to Parent Co. and makes a profit of $20,000 in 20×1. Parent Co. resells 10% of the inventory to third parties in 20×1 and 90% in 20×2. Only 10% of the profit is earned by the group.
  - Opening RE of Subsidiary Co. in 20×2 includes "unrealized" profit of $18,000
  - Consolidated RE at the end of 20×1 and beginning of 20×2 should only include profit of $2,000 and not $20,000
  - Re-enactment continue for as long as the asset remains in the group

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Tax Effects on Adjustments to Eliminate Unrealized Profit (Loss)

- Consolidated tax expense must reflect the tax effects of the consolidated profit before tax
  - Tax expense should be aligned with income recognition
- When unrealized profit is eliminated:
  - Profit is taxable for the legal entity but not the economic entity
  - A deferred tax asset arises (i.e. in the form of a prepaid tax)
  - Consolidation adjustment:

In the current period:		
Dr		Deferred tax asset
	Cr	Tax expense

In the following period:		
Dr		Deferred tax asset
	Cr	Opening RE

  - The tax expense is recognized when the asset is sold to 3rd party

Sold in the current period:		
Dr		Tax expense
	Cr	Deferred tax asset

Sold in the following period:		
Dr		Tax expense
	Cr	Opening RE

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Illustration 1:Adjustment to Opening Retained Earnings (RE) Upstream Sale

- S is a wholly owned subsidiary of P
- On 1 April 20×1, S sold inventory costing $7,000 to its P for $10,000
- On 5 Jan 20×2, P sold the inventory to external party for $15,000
- Assumed tax rate of 20%. Year-end is 31 Dec 20×1.

Q1 What are the consolidation journal entries as at YE 31 Dec 20×1 ?

Dr	Sales (S's I/S)	10,000	
Cr	Cost of sales (S's I/S)		7,000
Cr	Inventory (P's SFP)		3,000

This entry is to reduce current year profits and overstatement of inventory from the unrealized profit of $3,000

Dr	Deferred tax asset (Group SFP)	600 (3,000 * 20%)	
Cr	Tax expense (S's I/S)		600

This entry is to reduce current year profits and overstatement of inventory from the unrealized profit of $3,000

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Illustration 1:Adjustment to Opening Retained Earnings (RE) Upstream Sale

Q2: What are the consolidation entries as at 31 Dec 20×2?

(1)

Dr	Opening RE (S's SFP)	3,000	
Cr	Cost of Sale (P's I/S)		3,000

This entry is to reduce previous year profit through opening RE and recognize profit in the current year when the inventory is sold to a 3rd party

(2)

Dr	Tax expense (Group's P/L)	600	
Cr	Opening RE (S's SFP)		600

Since the profit is realized in this year, the tax expense should be recognized in the group's income statement in the current year

or

Dr	Deferred tax asset	600	
Cr	Opening RE		600
Dr	Tax expense	600	
Cr	Deferred tax asset		600

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Illustration 1:Adjustment to Opening Retained Earnings (RE) Upstream Sale

If sale to an external party is only made in 20×3:

(1)

Dr	Opening RE (S's SFP)	3,000	
Cr	Inventory (P's I/S)		3,000

This entry is to reduce previous year profit through opening RE and eliminate "unrealized" profit in the current year when the inventory remains unsold to external 3rd party

(2)

Dr	Deferred tax asset (Group's P/L)	600	
Cr	Opening RE (S's SFP)		600

This entry reinstates the prepaid tax and implicitly shifts the tax expense from the past period to the future period

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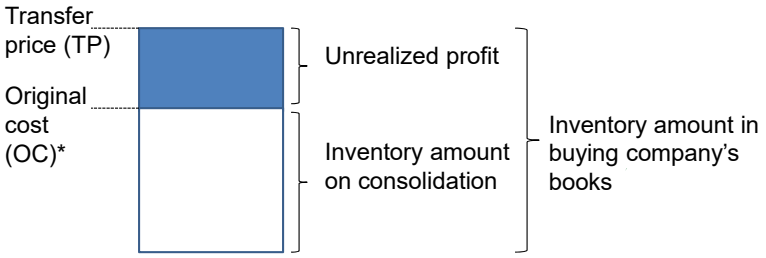
Intragroup Transfers of Inventory and Fixed Assets

- Unrealized profit and loss in asset (arising from intragroup transaction) should be eliminated in full unless loss is impairment loss
- If the transferred asset **is inventory**:
  - It should be carried at lower of cost and net realizable value
  - Cost is the exchange price when the goods were originally purchased from a third party
  - Adjustments are made to eliminate the profit element in the carrying amount of the inventory arising from intragroup transaction
  - Recognize profit only when the inventory is sold to 3rd party
    - ✓ Cost of sales in the consolidated financial statements should be the **original cost as transacted** with unrelated third parties and not the transfer price invoiced by one group company to another

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Intragroup Transfers of Inventory and Fixed Assets

- Unrealized profit in inventory



- TP – OC (unrealized profit arising from intragroup transaction) in remaining inventory should be eliminated

*Assuming that the carrying amount prior to the transfer is the original cost

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Ex1

- Ngày 1/1/X1 Công ty mẹ mua hàng tồn kho với giá $30 và sau đó bán cho công ty con với giá $50. Công ty con chưa bán lô hàng ra bên ngoài tại thời điểm BC.
- Ngày 10/2/X1Công ty mẹ mua hàng tồn kho với giá $100 và sau đó bán cho công ty con với giá $60. Công ty con chưa bán lô hàng ra bên ngoài tại thời điểm BC.
- Mẹ sở hữu 80% vốn CP của công ty con. Thuế suất thuế TNDN 20%.

Yêu cầu:

Xác định lãi (lỗ) chưa thực hiện trong hàng tồn kho cuối kỳ.

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EX2

- Công ty mẹ mua hàng tồn kho với giá $30 và sau đó bán cho công ty con với giá $50.

(a) Trong kỳ BC công ty con đã bán toàn bộ lô hàng ra bên ngoài với giá $60.

(b) Công ty con chưa bán lô hàng ra bên ngoài tại thời điểm BC.

(c) Công ty con bán 40% lô hàng ra bên ngoài với giá $25 tại thời điểm BC.

Yêu cầu:

Thực hiện bút toán điều chỉnh giao dịch bán HTK nội bộ tập đoàn cho năm 20X1.

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Intragroup Transfers of Inventory and Fixed Assets

- If the transferred asset is a fixed asset:
  - Asset should be carried at original cost less accumulated depreciation from date of original purchase to current period
  - Subsequent depreciation is based on original cost and not the transferred price
  - If there is a change in useful life or estimates, the changes for the group should be made with reference to the carrying amount based on original cost and not the transfer price

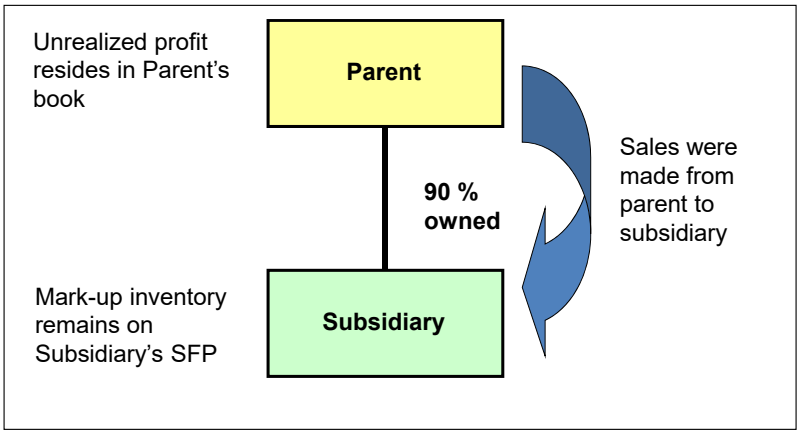
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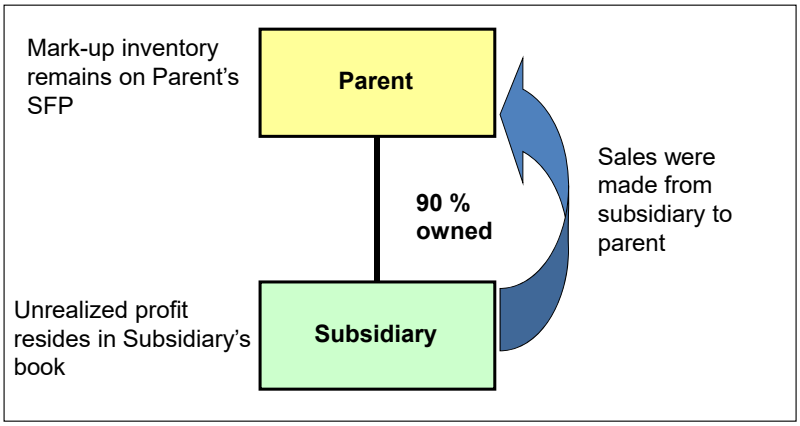
Downstream Sale



In downstream sale, NCI's share of profit of the subsidiary is not affected because the adjustment affects the parent's profit not the subsidiary

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Upstream Sale



In upstream sale, the unrealized profit resides in the subsidiary. Thus, NCI's share of the unrealized profit or loss needs to be adjusted from the carrying amount of the asset (IFRS 10 Para B86(c))

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Illustration 2: Upstream and Downstream Sales

- P invested in 70% of shares of S
- Intercompany transfers of inventory are as follows:

	20×3	20×4
Sale of inventory from P to S	$60,000	
Original cost of inventory	$(50,000)	
Gross profit	$10,000	
Percentage unsold to 3rd party at year end	10%	4%
Sale of inventory from S to P	$200,000	
Original cost of inventory	$(170,000)	
Gross profit	$30,000	
Percentage unsold to 3rd party at year end	30%	0%

- Tax rate: 20%
- Net profit after tax of S: $800,000 (31 Dec 20×3)
  $900,000 (31 Dec 20×4)

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Illustration 2: Upstream and Downstream Sales

31 Dec 20×3

CJE 1: Elimination of intercompany sales and adjustment of unrealized profit from downstream sale

Dr	Sale	60,000	
Cr	Cost of sales		**59,000** → Residual value
Cr	Inventory		1,000 → Unrealized profit × percentage unsold

Cost of sales (as reported in P's I/s)	$50,000	
Cost of sales (as reported in S's I/s)	54,000	(90% of $60,000)
Combined cost of sales	104,000	
Cost of sales (from group's perspective)	(45,000)	(90% of $50,000)
Amount to be eliminated	**$59,000**	

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Illustration 1: Upstream and Downstream Sales

31 Dec 20×3

CJE 1: Elimination of intercompany sales and adjustment of unrealized profit from downstream sale

Dr	Sale	60,000		
Cr	Cost of sales		**59,000**	→ Residual value
Cr	Inventory		1,000	→ Unrealized profit × percentage unsold

Cost of sales (as reported in P's I/s)	$50,000	
Cost of sales (as reported in S's I/s)	54,000	(90% of $60,000)
Combined cost of sales	104,000	
Cost of sales (from group's perspective)	(45,000)	(90% of $50,000)
Amount to be eliminated	**$59,000**	

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Illustration 1: Upstream and Downstream Sales

CJE 1 is a composite of two sub-entries:

CJE 1(a): Elimination of realized sales from downstream sale

Dr	Sales (P)	54,000 (90% × $60,000)	
Cr	Cost of sales (S)		54,000

Eliminates the sales of P against the cost of sales of S for the proportion of inventory that was resold to third parties during 20×3

CJE 1(b): Reversal of unrealized sales and removal of profits from inventory

Dr	Sales (P)	6,000 (10% × $60,000)	
Cr	Cost of sales (S)		5,000 (10% × $50,000)
Cr	Inventory (S)		1,000 (10% × $10,000)

Reverses the sales, cost of sales and profit in inventory for the proportion of inventory that remained unsold as at 31 Dec 20×3

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Illustration 2: Upstream and Downstream Sales

CJE 2: Adjustment for the tax effects on unrealized profit in inventory from downstream sales

Dr	Deferred tax asset	200	
Cr	Tax expense		200

→ Unrealized profit from unsold inventory × 20%

CJE 3: Elimination of intercompany sales and adjustment of unrealized profit from upstream sale

Dr	Sale	200,000		
Cr	Cost of sales		191,000	
Cr	Inventory		9,000	(30% × $30,000)

CJE 4: Adjustment for the tax effects on unrealized profit in inventory from upstream sales

Dr	Deferred tax asset	1,800	
Cr	Tax expense		1,800 (20% × $9,000)

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Illustration 2: Upstream and Downstream Sales

CJE 5: Allocation of current profit after tax to non-controlling interests

Dr	Income to NCI	237,840	
Cr	NCI		237,840

Net profit after tax of S for 20×3*	$800,000
Less: unrealized profit from upstream sale (CJE 3)	(9,000)
Add: tax expense on unrealized profit (CJE 4)	1,800
Adjusted net profit after tax of S for 20×3	$792,800
NCI's share of profit after tax for 20×3 (30%)	$237,840

*Note: No adjustment is required for the unrealized profit from downstream sale as profits reside in parent income

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Illustration 2: Upstream and Downstream Sales

31 Dec 20×4

CJE 1: Adjustment of unrealized profit from downstream sale in RE as at 1 Jan 20×4

Dr	Opening RE	1,000 (10% × $10,000)	
Cr	Cost of sales		600 (6% × $10,000)
Cr	Inventory		400 (4% × $10,000)

CJE 2: Adjustment of tax on unrealized profit from downstream sale in RE as at 1 Jan 20×4

Dr	Tax expense	120	
Dr	Deferred tax asset	80	
Cr	Opening RE		200

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Illustration 2: Upstream and Downstream Sales

CJE 3: Allocation of post-acquisition RE as at 1 Jan 20×4

Dr	Opening RE	240,000 (30% × $800,000)*	
Cr	NCI		240,000

*Use unadjusted profit after tax for YE 20×3 to compute NCI's share of post-acquisition RE.

CJE 4: Adjustment of unrealized profit from upstream sale in RE as at 1 Jan 20×4

Dr	Opening RE	6,300 (70% × 30% × $30,000)	
Dr	NCI	2,700 (30% × 30% × $30,000)	
Cr	Cost of sale		9,000 (30% × $30,000)

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Illustration 2: Upstream and Downstream Sales

CJE 5: Adjustment of tax on unrealized profit from upstream sale as at 1 Jan 20×4

Dr	Tax expense	1,800	
Cr	Opening RE		1,260
Cr	NCI		540

Combined effect of CJE 3, CJE 4, CJE 5 results in NCI's share of adjusted opening RE, which corresponds to CJE 5 passed in 20×3

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Illustration 2: Upstream and Downstream Sales

CJE 6: Allocation of current profit after tax to non-controlling interests

Dr	Income to NCI	272,160	
Cr	NCI		272,160

Net profit after tax of S for 20×4*	$900,000
Add: realized profit from upstream sale (CJE 4)	9,000
Less: tax expense on realized profit (CJE 5)	(1,800)
Adjusted net profit after tax of S for 20×4	$907,200
NCI's share of profit after tax for 20×4 (30%)	$272,160

*Note: adjustment to current year profit is needed for:

1) Realized profit & tax effects from current sale of inventory transferred from group companies in prior years are added back
2) Unrealized profit & tax effects from unsold inventory transferred from group companies in current year are deducted

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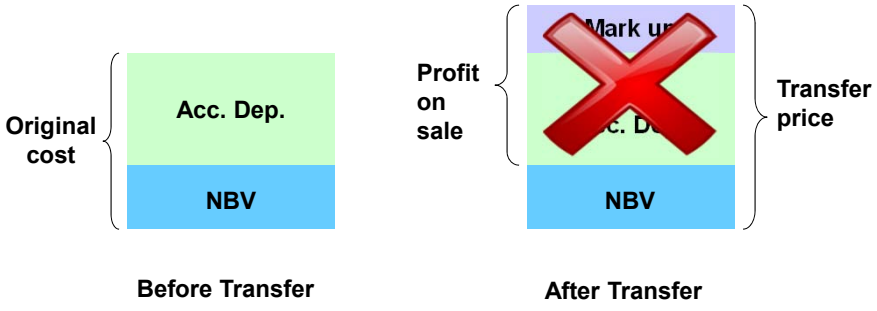
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Transfers of Fixed Assets

- When fixed assets (FA) are transferred at a marked-up price
  - The unrealized profit (or loss) must be eliminated from the carrying amount of FA
  - Account for the FA as if the transfer did not take place (group's view)



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Adjustments of Transfers of Fixed Assets

1. Restate the FA carrying amount to the NBV as of the date of transfer
2. Profit on sale of FA is adjusted out of:
   - ✓ Consolidated income statement if sale occurred in same period
   - ✓ Opening RE if sale occurred in the previous period and corresponding impact on NCI if the transfer is an upstream sale
3. Subsequent depreciation is determined on the basis of the original historical cost of asset & estimated useful life (include revision of estimate)
   - ✓ "new" depreciation that is expensed to the legal entity's financial statements is calculated on the basis of the transfer price

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Adjustments of Transfers of Fixed Assets

- The difference between the legal entity's depreciation* and group's depreciation is adjusted to:
  - ✓ Consolidated income statement for current year
  - ✓ Opening RE for prior year accumulated depreciation

4. The profit or loss on transfers of FA is realized through the series of higher or lower depreciation charge subsequently
   - ✓ Over the remaining useful life, aggregate of the additional depreciation equals the "profit" of the sale
5. Tax effect must be adjusted on the unrealized profit and subsequent corrections of depreciation

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Adjustments of Transfers of Fixed Assets

- Principles and processes relating to adjustment of profit on transfer of fixed assets between group companies also apply to other long-lived assets such as intangible assets
- If fixed assets are carried at revalued amounts:
  - ✓ OCI arising from the revaluation must be determined on the basis of the original cost of the fixed assets
  - ✓ Consolidation adjustments are required to measure OCI from the group's perspective as if no transfer took place within the group

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Impact on NCI When an Unrealized Profit Arises from an Intragroup Transfer of FA

- Downstream sales:
  - No impact on NCI
  - Elimination of unrealized profit from the carrying amount of the FA will apply only to the parent
- Upstream sales:
  - NCI is adjusted against:
    - ✓Unrealized profit on sale of FA
    - ✓Subsequent depreciation to unwind the unrealized profit
    - ✓Tax effect on profit and depreciation adjustments

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Ex3

- Công ty mẹ mua 100% cổ phần của công ty con, vào ngày 1/7/X1 công ty con mua 1 máy với giá $200,000, không có giá trị thu hồi và khấu hao trong 5 năm cho KT và thuế. Ngày 1/7/X4 công ty con bán cho công ty mẹ với giá 140,000 bằng tiền.
- 30/6/X6 máy này đã được thanh lý phế liệu. Tax 30%.

Yêu cầu:

1/ Thực hiện bút toán điều chỉnh năm X1, X4 và X5

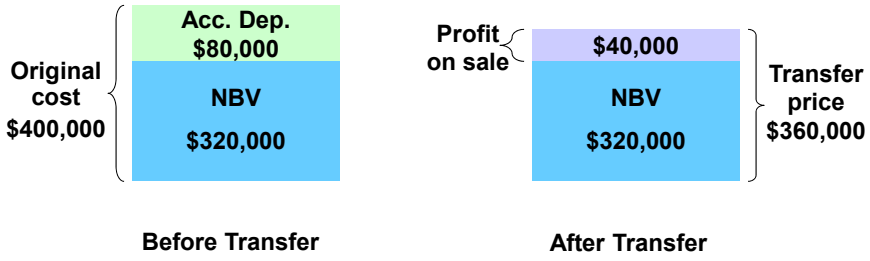
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Illustration 3: Downstream Transfer of Fixed Assets

- 1 Jan 20×2 P sold equipment to S for $360,000
- The original cost of equipment was $400,000
- The remaining useful life was 10 year from the original purchase date
- The remaining useful life is 8 years from date of transfer
- Assume a tax rate of 20%

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Illustration 3: Downstream Transfer of Fixed Assets



Profit on sale recorded by P
= Transfer price – NBV
= $360,000 – ($400,000 – $80,000)
= $40,000

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Illustration 3: Downstream Transfer of Fixed Assets



As at 31 Dec 20×2

	Status Quo	With sale	Amount to be restored/adjusted
Cost of asset	$400,000	$360,000	$40,000
Acc. Dep.	120,000	45,000	75,000
Current Dep.	40,000	45,000	5,000
Profit on sale	-	40,000	40,000
Tax on profit	-	8,000	8,000

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Illustration 3: Downstream Transfer of Fixed Assets

31 Dec 20×2

CJE 1: Adjustment of unrealized profit

Dr	Equipment (S)	40,000	→ Reinstate cost of FA to original historical cost; reinstate acc. dep. since date of original acquisition from third party
Dr	Profit on sale (P)	40,000	
Cr	Accumulated depreciation (S)		80,000 →

Reversal of these entries:

In P's Book			
Dr	Cash	360,000	
Dr	Acc. dep.	80,000	
Cr	Equipment		400,000
Cr	Profit on sale		40,000

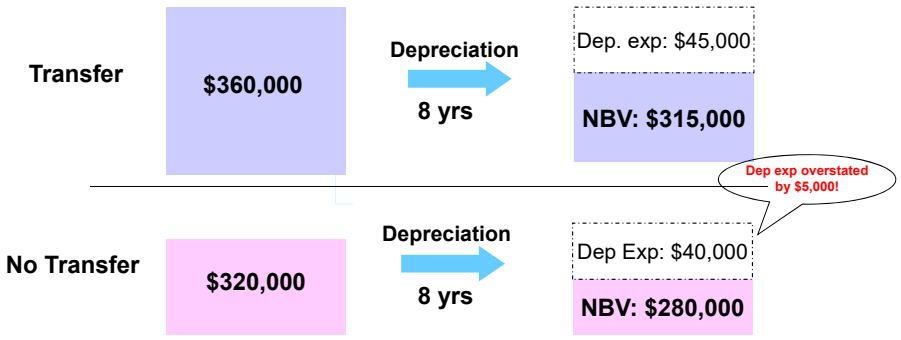
In S's Book			
Dr	Equipment	360,000	
Cr	Cash		360,000
Dr	Dep.	45,000	
Cr	Acc. Dep.		45,000

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Illustration 3: Downstream Transfer of Fixed Assets

CJE 2: Reverse tax on profit on sale

Dr	Deferred tax asset (Group's SFP)	8,000	
Cr	Tax expense (P)		8,000



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Illustration 3: Downstream Transfer of Fixed Assets

CJE 3: Correct the over-depreciation on unrealized profit included in equipment

Dr	Accumulated depreciation (S)	5,000	
Cr	Depreciation (S)		5,000

Depreciation recorded by S	$45,000
Original depreciation had P not sold to S	40,000
Excess depreciation	$5,000

Alternatively, excess depreciation = unrealized profit/remaining useful life
= $40,000/8
= $5,000

CJE 4: Increase in tax arising from correction of over-depreciation

Dr	Tax expense (S)	1,000	
Cr	Deferred tax asset (group's BS)		1,000

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Illustration 3: Downstream Transfer of Fixed Assets

When the equipment is fully depreciated:

CJE 5: Reinstate to original cost, accumulated depreciation and reverse profit

Dr	Equipment (S)	40,000	
Dr	Opening RE (P)	40,000	
Cr	Accumulated depreciation (S)		80,000

CJE 6: Correction of past excess depreciation

Dr	Accumulated depreciation	40,000	
Cr	Opening RE (S)		40,000

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Illustration 3: Downstream Transfer of Fixed Assets

CJE 7: Tax effects on unrealized profit on sale of fixed assets			
Dr	Deferred tax asset	8,000	
Cr	Opening RE (P)		8,000

CJE 8: Tax effects on unrealized profit on sale of fixed assets			
Dr	Opening RE (S)	8,000	
Cr	Deferred tax asset		8,000

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Illustration 4: Upstream Transfer of Fixed Assets

- Assume extension from illustration 3
- 1 Jan 20×2 S sold equipment to P for $360,000
- The original cost of equipment was $400,000
- The remaining useful life is 8 years from date of transfer
- Net profit after tax of S for YE 31 Dec 20×2: 500,000
  YE 31 Dec 20×3: 800,000
- Assume a tax rate of 20%



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Illustration 4: Upstream Transfer of Fixed Assets

31 Dec 20×2

CJE 1: Adjustment of unrealized profit			
Dr	Equipment (S)	40,000	
Dr	Profit on Sale (P)	40,000	
Cr	Accumulated depreciation (S)		80,000

CJE 2: Reverse of tax on profit on sale			
Dr	Deferred tax asset (Group's SFP)	8,000	
Cr	Tax expense (S)		8,000

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Illustration 4: Upstream Transfer of Fixed Assets

CJE 3: Correct the over-depreciation on unrealized profit included in equipment			
Dr	Accumulated depreciation (P)	5,000	
Cr	Depreciation (P)		5,000

Depreciation recorded by P	$45,000
Original depreciation had S not sold to P	40,000
Excess depreciation	$5,000

CJE 4: Increase in tax arising from correction of over-depreciation			
Dr	Tax expense (P)	1,000	
Cr	Deferred tax asset (Group's SFP)		1,000

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Illustration 4: Upstream Transfer of Fixed Assets

CJE 5: Allocation of current year profit to NCI			
Dr	Income to NCI	47,200	
Cr	NCI		47,200

Net profit after tax of S	$500,000
Less: unrealized profit on sale, after-tax (CJE 1, CJE 2)	(32,000)*
Add: realization through depreciation, after-tax (CJE 3, CJE 4)	4,000*
Adjusted net profit after tax of S	$472,000
NCI's share (10%)	$47,200

*Depreciation will "unwind" the original profit on sale (net of tax) until the end of the remaining useful life of 8 years is reached

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Illustration 4: Upstream Transfer of Fixed Assets

31 Dec 20×3

CJE 1: Adjustment of unrealized profit in prior year				
Dr	Equipment (P)	40,000		
Dr	Opening RE (S)	36,000	(90% × $40,000)	
Dr	NCI	4,000	(10% × $40,000)	
Cr	Accumulated depreciation (P)			80,000

CJE 2: Reversal of tax on profit on sale in prior year				
Dr	Deferred tax asset (Group's SFP)	8,000		
Cr	Opening RE (S)		7,200	(20% × $36,000)
Cr	NCI		800	(20% × $4,000)

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Illustration 4: Upstream Transfer of Fixed Assets

CJE 3: Correct the over-depreciation for prior and current year

Dr	Accumulated depreciation (P)	10,000		
Cr	Depreciation (P)		5,000	
Cr	Opening RE (P)		4,500	(90% × $5,000)
Cr	NCI		500	(10% × $5,000)

CJE 4: Increase in tax arising from correction of over-depreciation in prior and current year

Dr	Tax expense (P)	1,000		
Cr	Opening RE (P)		900	(20% × $4,500)
Cr	NCI		100	(20% × $500)
Cr	Deferred tax asset (Group's SFP)			2,000

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Illustration 4: Upstream Transfer of Fixed Assets

CJE 5: Allocation of current year profit to NCI

Dr	Income to NCI	80,400	
Cr	NCI		80,400

Net profit after tax of S	$800,000
Add: realization through depreciation (CJE 3)	5,000
Less: tax expense on depreciation (CJE 4)	(1,000)
Adjusted net profit	$804,000
NCI's share (10%)	$80,400

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Content

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2. Elimination of Realized Intragroup Transactions
3. Elimination of Intragroup Balances
4. Adjustment of Unrealized Profit or Loss Arising from Intercompany Transfers
5. Impact on Non-controlling Interests Arising from Adjustments of Unrealized Profit or Loss
6. Special Considerations for Intercompany Transfers of Fixed Assets
7. Special Accounting Considerations When Intragroup Transfers Are Made at a Loss
8. Consolidated Retained Earnings and their Components

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Transfers of Assets at a Loss

- Need to reassess whether the loss is indicative of impairment loss
- If loss is indicative of impairment loss:
  - Loss is not adjusted out of the carrying amount of asset
  - Only reverse the sale and cost of sale account for inventory
  - Only reverse the sale and accumulated depreciation for FA
- If loss is not indicative of impairment loss:
  - Same as unrealized profit treatment
  - Unrealized loss is adjusted out of the carrying amount of asset
  - Realized only when the inventory is sold to 3rd party or depreciation for FA are corrected

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Illustration 5:
Unrealized Loss Arising from Intragroup Transfers

Example 1

- Parent transferred inventory to subsidiary during the year ended 31 Dec 20×6

Transfer price	$60,000
Original Cost	$80,000
Gross loss	($20,000)

- The loss on transfer indicated an impairment loss on the inventory

What is the consolidation journal entry?

Dr	Sale	60,000	
Cr	Cost of Sales		60,000

Eliminate the transfer of inventory – no adjustment is made to remove the unrealized loss

Implicit recognition of $20,000 of loss in the consolidated income statement

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Illustration 5:
Unrealized Loss Arising from Intragroup Transfers

Example 2

- Parent transferred fixed asset to subsidiary during the year ended 31 Dec 20×6

Transfer price		$120,000
Original cost	$200,000	
Accumulated depreciation	50,000	
NBV at date of transfer		$150,000
Loss on transfer		$(30,000)

- The loss on transfer indicated an impairment loss on the fixed asset

What is the consolidation journal entry?

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Illustration 5:
Unrealized Loss Arising from Intragroup Transfers

Dr	Fixed asset	80,000	
Cr	Accumulated depreciation		80,000

Reinstatement of accumulated depreciation	$50,000
Recognition of impairment loss of fixed asset	30,000
Adjustment to accumulated depreciation	$80,000

Reclassification of loss on sale to impairment loss			
Dr	Impairment loss	30,000	
Cr	Loss on sale		30,000

Note: subsequent depreciation will take into account any revision in useful life of the impairment in value

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Transfers of Assets at a Loss

- A number of other situations exists when the loss on transfer is:
  - ✓ Either wholly an artificial or "unrealized" loss; or
  - ✓ Combination of artificial or "unrealized" loss and impairment loss
- To determine whether a loss on an intra-group transfer includes an impairment loss and/or artificial or "unrealized" loss:
  - ✓ Compare the transfer price against the fair value of the asset at date of transfer and its carrying amount

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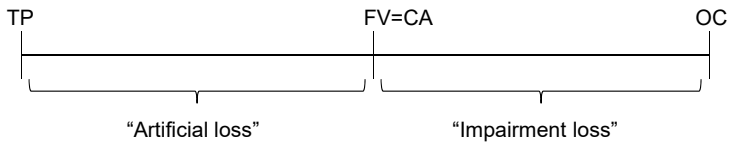
Illustration 6:
Transfers at a Loss

Background:

- Parent Co. transferred inventory to Subsidiary Co. on 4 April 20×1
- Assume that the inventory had not yet been resold to third parties

Situation A:

Transfer price	$90,000
Original cost	$120,000
Carrying amount in P's books	$100,000
Fair value	$100,000



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Illustration 6:
Transfers at a Loss

Situation A:

	Group	Legal entity	
LCNRV test at year end	*"What should be"*	*"What is"*	Difference
Original cost	$120,000	$90,000	
NRV	$100,000	$100,000	
LCNRV	$100,000	$90,000	$10,000

"Artificial loss" adjusted as if an unrealized loss of $10,000
Impairment loss of $20,000 is recognized; no reversal on consolidation

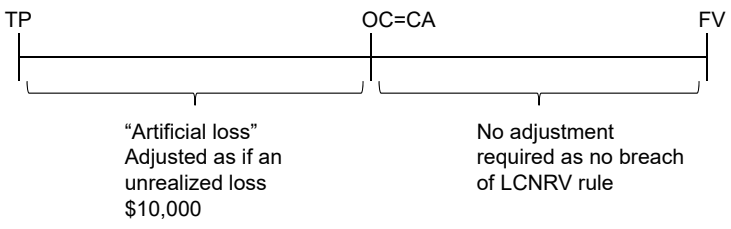
CJE: Eliminate intercompany transfer			
Dr	Sales	90,000	
Dr	Inventory	10,000	
Cr	Cost of sales		100,000

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Illustration 6:
Transfers at a Loss

Situation B:

Transfer price	$90,000
Original cost	$100,000
Fair value	$120,000
Carrying amount in P's books	$100,000



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Illustration 6:
Transfers at a Loss

Situation B:

	Group	Legal entity	
LCNRV test at year end	*"What should be"*	*"What is"*	Difference
Original cost	$100,000	$90,000	
NRV	$120,000	$120,000	
LCNRV	$100,000	$90,000	$10,000

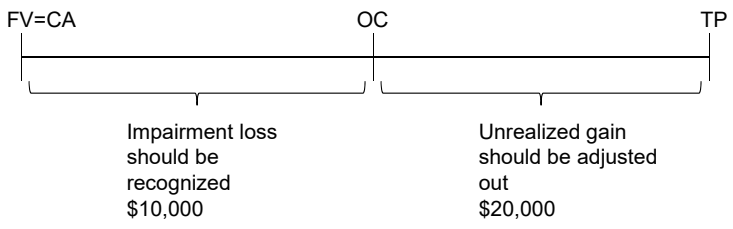
CJE: Eliminate intercompany transfer			
Dr	Sales	90,000	
Dr	Inventory	10,000	
Cr	Cost of sales		100,000

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Illustration 6:
Transfers at a Loss

Situation C:

Transfer price	$120,000
Original cost	$100,000
Fair value	$90,000
Carrying amount in P's books	$90,000



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Illustration 6:
Transfers at a Loss

Situation C:

	Group	Legal entity	
LCNRV test at year end	*"What should be"*	*"What is"*	Difference
Original cost	$100,000	$120,000	
NRV	$90,000	$90,000	
LCNRV	$90,000	$90,000	0
Impairment loss	$10,000	$30,000	$20,000

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Illustration 6:
Transfers at a Loss

Situation C:

CJE 1: To reverse unrealized gain in inventory

Dr	Sales	120,000	
Cr	Inventory		20,000
Cr	Cost of sales		100,000

CJE 2: To adjust the excess impairment loss

Dr	Inventory	20,000	
Cr	Impairment loss (COS)		20,000

Combined CJE: Elimination of sales and cost of sales

Dr	Sales	120,000	
Cr	Cost of sales		120,000

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Conclusion

- Consolidation adjustments are passed to eliminate intragroup balances and transactions
- Consolidation is a three-step process that includes the preparation of adjusting entries, preparation of a consolidation worksheet and analysis of final balances
- From the group's perspective, an asset on the statement of financial position should be carried on the basis of the original cost transacted with third parties and not internal transfer prices
- Internally-generated profit or loss should be eliminated unless the loss is indicative of an impairment loss of the asset
- Multi-period consolidation requires correction of unrealized gains or losses in opening retained earnings
- Special considerations apply to adjustments for transfers of long-term assets between group companies and transfers made at a loss
- Utilizing the analytical check approach enables an efficient method to deriving consolidated totals.

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